

DECISIONS · 8 MAR 2000

Judgment of 8 March 2000 — Paris Court of Appeal

TYPE	COURT	DATE	PARTIES
Court decision	The Paris Court of Appeal	8 Mar 2000	Bernard Collorafi v. McDonald's France

SUMMARY SHEET

Paris Court of Appeal — 8 March 2000

RG 1998/14119 · 16th chamber, section A · on appeal from the judgment of the Paris Commercial Court of 18 May 1998. Decision: **partial reversal**.

What the Court rules

The termination clause is binding on the judge, but it must be applied **in good faith** (art. 1134 Civil Code). The SEBOL (Carrefour) and B & O (Antibes Nord) restaurants form an **economic entity** designed in synergy against the competitor Quick. McDonald's, which knew of the losses, should have proposed an **overall plan over eighteen months**; the one-off amendment was derisory. As the orders to pay were served **in bad faith**, the termination is **wrongful**.

But the damage is limited: even with this plan, the companies would have remained loss-making. No loss of a chance of profitability.

Operative part in figures

Fees owed by Collorafi and his companies (2 Jan – 10 Jun 1998):

Debtors	Arrears	Fees
SEBOL + Collorafi	1,867,247.84 F	1,272,000 F
B & O + Collorafi	1,533,548.87 F	1,113,000 F
Les Pins + Collorafi	504,474.42 F	1,272,000 F

McDonald's ordered to pay: 240,330 F (Collorafi's loss of salary) · 4,528,333 F to the companies and to Collorafi (fixed assets recovered) · 100,000 F for non-pecuniary damage.

Costs: three quarters borne by McDonald's, one quarter by Collorafi. Article 700: each party bears its own expenses.

Significance

Review of good faith in the implementation of a termination clause: the network head that brought about the lessee-manager's difficulties cannot, in bad faith, invoke the termination clause as having taken effect. The franchisor's duty of fair dealing in a period of crisis — without any guarantee of result.